**NATIONAL COMPANY LAW TRIBUNAL**
**CHANDIGARH BENCH (COURT-I), CHANDIGARH**

**CP (CAA)No.14/Chd/Pb/2023**
**(2nd Motion)**
**Connected with**
**CA(CAA)No.7/Chd/PB/2023**
**(1st Motion)**

**Under Sections 230 to 232 read with Section 66 and other applicable provisions of the Companies Act, 2013 read with the Companies (Compromises, Arrangements, Amalgamations) Rules, 2016**

**IN THE MATTER OF COMPOSITE SCHEME OF ARRANGEMENT OF:**

**AKM Real Estate Developers Private Limited,**
(CIN**:** U45200CH2007PTC030991)
having its registered office at
SCO 140-141, Sector 34-A,
Chandigarh-160022

**…... Petitioner Company 1/ Transferor Company No. 1**

And

**Lord Properties Private Limited**,
(CIN: U70101PB1981PTC004581)
having its registered office at
Khasa Distillery Company, Village Khasa,
Amritsar, Punjab-143107

**... Petitioner Company 2/ Transferor Company No. 2**

And

**Digvijay Chemicals Limited**
(CIN: U24119PB1987PLC051877)
having its registered office at
Khasa Distillery Company, Village Khasa,
Amritsar, Punjab-143107

**... Petitioner Company 3/ Transferee Company**

**Order delivered on: 20.03.2025**

**Coram: HON'BLE MR. HARNAM SINGH THAKUR, MEMBER (JUDICIAL)**
**HON'BLE MR. UMESH KUMAR SHUKLA, MEMBER (TECHNICAL)**

**Present:**

| | | |
|---|---|---|
| For the Petitioner Companies | : | Mr. Rahul Jogi, Advocate, Ms. Deepali Garg, PCS |
| For the Income Tax Department | : | Mr. Yogesh Putney, Senior Standing Counsel (For Petitioner Company 1)<br>Ms. Urvashi Dugga, Senior Standing Counsel (For Petitioner Company 2 and 3) |
| For the Regional Director/ Registrar of Companies | : | Mr. Vineet Khatri, Company Prosecutor |
| For the Official Liquidator | : | Mr. Edward Augustine George, Advocate |

**Per: Mr. Harnam Singh Thakur, Member (Judicial)**
**Mr. Umesh Kumar Shukla, Member (Technical)**

**JUDGEMENT**

This Joint Second Motion Company Petition (hereinafter referred to as the "**Petition**") has been filed under Sections 230 to 232 & 66 of the Companies Act, 2013 (hereinafter referred to as the "**Act**") read with the Companies (Compromises, Arrangements, Amalgamations) Rules, 2016 (hereinafter referred to as the "**CAA Rules**"), National Company Law Tribunal Rules, 2016 (hereinafter referred to as the "**NCLT Rules**") and other applicable provisions, if any, by AKM Real Estate Developers Private Limited (hereinafter referred to as the "**Petitioner Company 1**" or "**Transferor Company No. 1**"), Lord Properties Private Limited (hereinafter referred to as the "**Petitioner Company 2**" or "**Transferor Company No. 2**") and Digvijay Chemicals Limited (hereinafter referred to as the "**Petitioner Company 3**" or "**Transferee Company**") (hereinafter collectively Petitioner Companies 1 to 3 referred to as the "**Petitioner Companies**") for sanctioning of the Composite Scheme of Arrangement for (a) the Amalgamation of Petitioner Companies 1 and 2 with Petitioner Company 3 on a going-concern basis and the dissolution of the Petitioner

Companies 1 and 2 without following the process of winding-up; and (b) reduction of issued, subscribed and paid-up equity share capital of the Petitioner Company 3 by providing exit to the public shareholders of Petitioner Company 3, with or without modification and declare that the same be binding on the Petitioner Companies and their respective shareholders and secured/ unsecured creditors (hereinafter referred to as the **"Scheme"**). A copy of the Scheme is annexed as Annexure-1 of the Petition.

2. The Petitioner Company 1 is having its registered office situated at Union Territory of Chandigarh and Petitioner Companies 2 and 3 are having their registered in the State of Punjab, therefore the territorial jurisdiction lies with this Adjudicating Authority.

3. The Petitioner Companies had filed the First Motion Joint Company Application bearing CA(CAA)No.7/CHD/PB/2023 (hereinafter referred to as the "**Application**") before this Tribunal for seeking directions for dispensing with the requirement of convening of meetings of Equity Shareholders, Preference Shareholders, Debenture holders, Secured Creditors and Unsecured Creditors of the Petitioner Companies, which was allowed and disposed of vide order dated 21.03.2023, with the directions to dispense with the requirement of convening of meetings of above stakeholders of the Petitioner Companies for the reasons mentioned in the aforesaid order. A copy of the said order has been attached as Annexure-19 of the Petition.

4. In the Second Motion proceedings, this Tribunal vide Order dated 12.04.2023 issued the following directions to the Petitioner Companies:

(i) Publish the notice of hearing in the newspapers namely "Financial Express" (English, Chandigarh Edition) and "Jansatta" (Hindi, Chandigarh Edition).

(ii) Serve the notice of the Petition on the statutory authorities/ regulators by speed post.

(iii) File an affidavit of service regarding newspaper publication with newspaper clippings as well as service of notices on the statutory authorities/ regulators.

(iv) File an affidavit stating the objections received from the public pursuant to publication of notice of hearing in the newspapers.

5. In compliance of this Tribunal Order dated 12.04.2023, the Petitioner Companies filed an Affidavit dated 02.06.2023 vide Diary No. 01045/1 dated 05.06.2023, which was taken on record vide this Tribunal Order dated 06.07.2023. It is stated in the affidavit that:

(i) The copies of notices were served upon the (a) Central Government through Regional Director (Northern Region), Ministry of Corporate Affairs, New Delhi (hereinafter referred to as the "**RD**") (b) Registrar of Companies, Punjab and Chandigarh (hereinafter referred to as the "**RoC**") (c) The Official Liquidator, Punjab & Haryana at Chandigarh (hereinafter referred to as the "**OL**") (d) Income Tax (hereinafter referred to as the "**IT**") Department, through Nodal Officer (e) Real Estate Regulatory Authority (hereinafter referred to as the "**RERA**"), NCT of Delhi & UT of Chandigarh (f) Real Estate Regulatory Authority, Punjab. (f) Excise & Taxation Commissioner, Punjab by way of speed post. The copy of original speed post receipts along with tracking report has been attached as Annexure-A-2, 3, 4, 5, 6, 7 and 8 respectively of the aforesaid affidavit.

(ii) The Petitioner Companies have made newspaper publications in

"Financial Express" (English) and "Jansatta" (Hindi) both in Chandigarh Edition on 25.05.2023. The copies of the newspapers have been attached as Annexure A-9 of the aforesaid affidavits.

6. With regard to the direction of this Tribunal vide its Order dated 12.04.2023 regarding notices to the statutory authorities/ regulators etc., the status of replies has been discussed in the following paragraphs.

## I. Regional Director/ Registrar of Companies

7. The RD vide Dairy No. 01045/6 dated 23.08.2023, filed its report dated 18.08.2023 enclosing therewith the RoC report dated 17.05.2023. Besides general observations, the RD in para 10 of its report has referred to observations in clause 33 of the RoC report. The Petitioner Company 3 filed the Response Affidavit dated 25.08.2023 vide Diary No. 01045/8 dated 25.08.2023, which was taken on Record vide this Tribunal Order dated 28.08.2023. The observation in RD report and its reply by the Petitioner Company 3 are shown in the Table below:

<table>
<tr><th>Observations of RD Report</th><th>Reply of Petitioner Company No. 3</th></tr>
<tr><td>The Authorized Capital of the Transferee Company, after the Scheme becoming effective, shall be in accordance with Section 232(3)(i) of the Companies Act, 2013. As per Section 232(3)(i) of the Companies Act, 2013, the fee, if any, paid by the Transferor Company on its Authorized Capital shall be set-off against any fee payable by the Transferee Company on its authorized capital subsequent to the amalgamation.</td><td>Pursuant to the sanctioning of the Scheme by this Tribunal, the authorized share capital of the Petitioner Company 1 and 2 shall be clubbed into the authorized share capital of the Petitioner Company 3 as under:
<table>
<tr><th>Authorized Share Capital</th><th>Rs.</th></tr>
<tr><td>Petitioner Company 1</td><td>3,42,00,000</td></tr>
<tr><td>Petitioner Company 2</td><td>6,00,000</td></tr>
<tr><td>Petitioner Company 3</td><td>6,50,00,000</td></tr>
<tr><td>Petitioner Company 3 upon amalgamation</td><td>9,98,00,000</td></tr>
</table>
In terms of clause 6.1 of the Scheme, reproduced below, the Petitioner Company 3 shall pay fees on its increased authorized share capital to the RoC after claiming set off of fee already paid by the Petitioner Company 1 and 2 on their authorized share capital as per the provisions of section 232(3)(i) read with Section 233(11) and 233(12) of the Companies Act, 2013:</td></tr>
</table>

| Observations of RD Report | Reply of Petitioner Company No. 3 |
|---|---|
| | *"**6. Consolidation of authorized share capital of the Transferee Company***<br>*6.1 Upon the Scheme coming into effect and with effect from the Appointed Date, the authorized share capital of the Transferor Companies as on the Effective Date shall stand transferred to and be added with the authorized share capital of the Transferee Company. The Transferee Company shall file necessary application with the Registrar of Companies, Chandigarh along with the Scheme as sanctioned by the Tribunal, indicating the revised authorized share capital and pay the prescribed fee due on such increase in authorized share capital after claiming set off of fee already paid by the Transferor Company on their authorized share capital as per Section 232(3)(i) read with Section 233(11) and 233(12) of the Act. It is further clarified that the Transferee Company shall not be required to pay any other additional fees (including fee payable to Registrar of Companies, Chandigarh except as may be required as per the applicable provisions of the Act) or stamp duty or any other charges under any applicable laws for time being in force."*<br>In light of the above, the Petitioner Company 3 hereby undertakes that the Petitioner Company 3 shall comply with the provisions of section 232(3)(i) of the Companies Act, 2013 and shall pay the difference of fees, if any, which is payable on the enhanced authorized share capital of Rs.9,98,00,000/- and the total amount of fee, which has already been paid by the Petitioner Company 1 and 2 on their authorized share capital. |
| The Petitioner Company 2 and 3 are subsidiary Companies of Petitioner Company 1. | These observations are mere statement of facts and do not require any response |
| The Petitioner Company 1 has made investment in unquoted equity shares and fully convertible debenture of Rs.3,390.08 lakh of its subsidiary Company (Petitioner Company 2) as on 31,03.2022. | |
| The Petitioner Company 1 has securities premium a/c balance of Rs.2,497.95 lakh as on 31.03.2022. | |
| The Petitioner Company 3 has deferred tax assets of Rs.110.08 Lakh as on 31.03.2022. | |
| The Petitioner Company 3 has aggregate amount of unquoted non-current investments of Rs.456.03 Lakh as on 31.03.2022. | |
| The Petitioner Company 1 has deferred tax liability of Rs.120.20 Lakh as on 31.03.2022. | |

8. During the course of hearing dated 17.05.2024, Mr. Vineet Khatri, Learned Company Prosecutor for the RD/RoC submitted that the replies filed by the Petitioner Companies are found satisfactory and there are no further objections to the Scheme.

## II. Official Liquidator

9. The OL vide Diary No. 01045/2 dated 13.06.2023, filed its report dated 05.06.2023, which was taken on record vide this Tribunal Order dated 06.07.2023. Besides general observations, the OL in para 18 of its report has made the following observations:

***(A) No revenue from Operation-***

*i. As per the audited financial statement for the period of 2020-21 and 2021-22, it is evident that the Petitioner Company 1 is not carrying on any business activity and the only income is "Interest on investment" as given hereunder.*

| | | *(Rs. Lakh)* |
|---|---|---|
| ***Particulars*** | ***As Per Balance Sheet 31.03.2022*** | ***As Per Balance Sheet 31.03.2021*** |
| *Other Equity* | *2826.40* | *2852.28* |
| *Total Income/ Revenue* | *-* | *-* |
| *Other Income- Interest on Investment* | *5.78* | *5.26* |
| *Expenses* | *40.50* | *36.70* |
| *Profit before tax* | *(34.71)* | *(31.44)* |
| *Profit/ Loss for the Period* | *(25.88)* | *(23.41)* |
| *E.P.S.- Basic/Diluted* | *(6.98)* | *(6.31)* |

*ii. As per the audited Balance sheet of Petitioner Company No.2, it is also not doing any business activity and the Income from Operation is Nil as under:*

| | | *(Rs. Lakh)* |
|---|---|---|
| ***Particulars*** | ***As Per Balance Sheet 31.03.2022*** | ***As Per Balance Sheet 31.03.2021*** |
| *Other Equity* | *51.11* | *56.05* |
| *Total Income/ Revenue* | *-* | *-* |
| *Expenses* | *6.59* | *5.98* |
| *Profit/ Loss before tax* | *(6.59)* | *(5.98)* |
| *Profit/ Loss for the Period* | *(4.93)* | *(4.48)* |
| *E.P.S.- Basic/Diluted* | *(9.35)* | *(8.48)* |

10. During the course of the hearing dated 17.05.2024, Mr. Edward Augustine

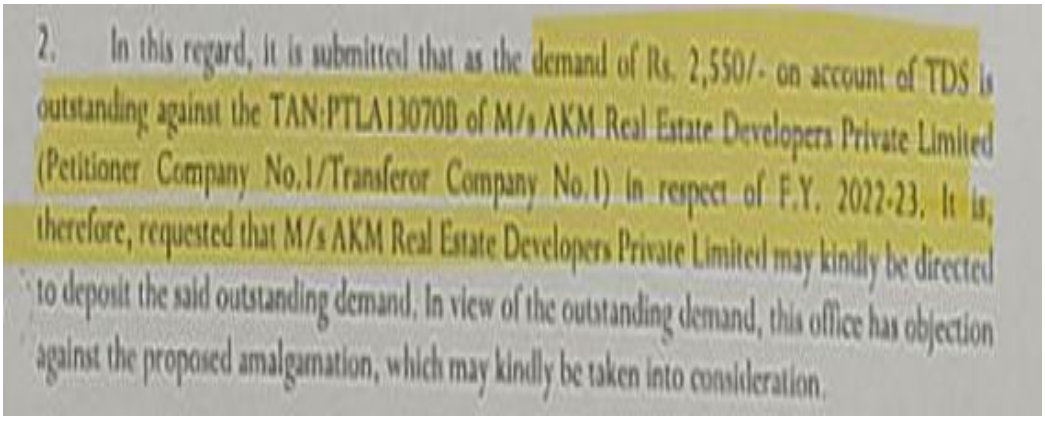
George, the Counsel for OL stated that the office of OL has no objection to the Scheme.

**III. Income Tax Department** -

11. The Sr. Standing Counsel for the IT Department, Chandigarh vide Diary No. 01045/4 dated 21.07.2023, filed the report of IT Department, Ward 5(5) Chandigarh dated 06.07.2023 in respect of Petitioner Company 1, which was taken on record vide this Tribunal Order dated 28.08.2023. It is stated in the report that as per records of their office, no demand is outstanding against the PAN: AAHC0057B, but the assessee is also having TAN: PTLA13070B, which lies under the jurisdiction of ITO(TDS)-2, Chandigarh and their office is unable to comment on the demand on the said TAN and therefore, the interest of the Revenue be protected by directing the Petitioner Company to discharge the outstanding demand, if any, found later on. The relevant extract of the report is reproduced below:

2. That the assesse company M/s AKM Real Estate developers Pvt. Ltd, PAN: AAHC0057B as per verification from record of this office as well as ITBA system/CPC 2.0, is assessed with Chandigarh. As per records of this office, no demand is outstanding against the PAN AAHC0057B. The assessee is also having TAN PTLA13070B which lies under the jurisdiction of ITO(TDS)-2, Chandigarh and this office is unable to comment on the demand exists upon the said TAN PTLA13070B.
3. That as per the records available on ITBA portal, it is to submit that the Applicant Company has been filling its Return of Income since F.Y. 2007-08 relevant to the AY 2008-09 to the F.Y. 2021-22 relevant to the A.Y. 2022-23.
4. That thus in view of the submissions made above, it is submitted that the appropriate orders may kindly be passed and the interest of the Revenue be protected and the Applicant Company may also be directed to discharge the outstanding demand, if any, found later on against the Applicant Company.

12. The report dated 06.07.2023 of Income Tax Officer (TDS) Ward-2, Chandigarh was received by post vide Diary\ No. 203 dated 07.07.2023 in respect of Petitioner Company 1, which was taken on record vide this Tribunal Order dated 28.08.2023. It is stated in the report that in view of the outstanding demand of Rs. 2,550/- on account of TDS against the Petitioner Company 1 in respect of F.Y. 2022-23, the IT Office has objection against the Scheme. The relevant extract of the report is reproduced below:



2. In this regard, it is submitted that as the demand of Rs. 2,550/- on account of TDS is outstanding against the TAN:PTLA13070B of M/s AKM Real Estate Developers Private Limited (Petitioner Company No.1/Transferor Company No.1) in respect of F.Y. 2022-23. It is, therefore, requested that M/s AKM Real Estate Developers Private Limited may kindly be directed to deposit the said outstanding demand. In view of the outstanding demand, this office has objection against the proposed amalgamation, which may kindly be taken into consideration.

13. The Petitioner Company 3 vide Diary No. 01045/9 dated 03.10.2023, filed the reply affidavit dated 03.10.2023 to the above IT reports, which was taken on record vide this Tribunal Order dated 12.01.2024. It is stated in the Affidavit that the Petitioner Companies have received the ITD report regarding Petitioner Company 1 only and not for Petitioner Companies 2 and 3. However, as per Clause 4.2.8 (i) of the Scheme, all taxes, duties, cess, and related assets of the Transferor Companies up to a day immediately preceding the Appointed Date will be transferred to and borne by the Transferee Company and as per Clause 4.2.7 of the Scheme, the legal and taxation proceedings against the Transferor Companies will be continued and enforced by and against the Transferee Company, as if they had been originally instituted or pending against the Transferee Company. The relevant extract of the clause 4.2.8(i) and 4.2.7 of the Scheme as shown in the reply affidavit is reproduced as below:

"4.2.8. <u>Tax Treatment</u>

(i) All taxes, duties, cess, MAT credit, tax related assets (including service tax, input credit, CENVAT, value added tax, sales tax, entry tax, GST etc) that are allocable, referable or related to the Transferor Companies and payable, whether due or not, upto a day immediately preceding the Appointed Date, including all advance tax payments, tax deducted at source, tax liabilities or any refunds, tax obligations, credit and claims, carry forward losses and tax credits under any provision of the Income Tax Act, 1961 shall, for all intent and purposes, be treated as the liability or refunds, credit and claims, as the case may be, of the Transferee Company."

"4.2.7 <u>Legal and other such Proceedings</u>

All Proceedings transferred to the Transferee Company pursuant to the Scheme, shall not abate or be discontinued or in any way be prejudicially affected by reason of the amalgamation of the Transferor Companies by anything contained in this Scheme and the Proceedings shall continue and any prosecution shall be enforced by or against the Transferee Company in the same manner and to the same extent as it would or might have been continued, prosecuted or enforced by or against the Transferor Companies, as if this Scheme had not been made. The Transferee Company undertakes to have such Proceedings relating to or in connection with the Transferor Companies, initiated by or against the said Transferor Companies, transferred in the name of Effective Date, and to have the same continued, prosecuted and enforced by or against the Transferee Company. The Transferee Company also undertakes to pay all amounts including interest, penalties, damages, etc., which the Transferor Companies may be called upon to pay or secure in respect of any liability or obligation relating to the Transferor Companies for the period from the Appointed Date up to the Effective Date and any costs incurred by the Transferor Companies in respect of such proceedings started by or against it relatable to the period from the Appointed Date up to the Effective Date upon submission of necessary evidence by the said Transferor Companies to the Transferee Company for making such payment.

14. It is further submitted by the Petitioner Companies that there shall be no impact of the outstanding disputed statutory tax dues and litigations, if any, of the Transferor Companies as a consequence of amalgamation of the Transferor Companies with and into the Transferee Company, because the Transferee Company is a profitable company with positive net worth and shall continue to exist after the sanctioning of the Scheme and the Transferee Company hereby undertakes to pay the aforesaid demand upon sanction of the Scheme, subject to the right of appeal available to the Transferee Company and crystallization of such tax demands (if any) by the appellate authorities.

15. The Senior Standing Counsel for the IT Department, vide Diary No. 01045/12 dated 16.05.2024, filed IT report dated 15.05.2024 of Income Tax Officer, Ward 5(5), Chandigarh in respect of Petitioner Company 1, which was taken on record vide this Tribunal Order dated 17.05.2024. It is stated in the report by the IT Department that:

(i) It was incorporated on 06.11.2007 and as of now, no demand is outstanding against it nor any proceedings are pending.

(ii) The details of last five Income Tax Returns(s) filed by it are as under

| A.Y. | Returned Income | Demand | Whether Scrutiny (Yes/No) | Losses | Unabsorbed Depreciation |
|---|---|---|---|---|---|
| 2023-24 | NIL | NIL | No | 1,47,443 | NIL |
| 2022-23 | NIL | NIL | No | 75,221 | NIL |
| 2021-22 | NIL | NIL | No | 56,968 | NIL |
| 2020-21 | NIL | NIL | No | 36,984 | NIL |
| 2019-20 | NIL | NIL | No | 3,30,313 | NIL |
| 2018-19 | NIL | NIL | No | 83,776 | NIL |

(iii) The Scheme is prejudicial to the interest of the Revenue and does not involve any public interest as such. The Petitioner Company 1 is a loss-making company and its losses, after amalgamation, will be adjusted against the income of the Transferee Company and the brought forward losses shall affect the Revenue adversely.

(iv) The Scheme is not being examined with reference to the taxation aspect vis-à-vis other scheme(s), if any. In future, if it is discovered that this scheme or similar schemes are in any way acting as a device for tax-avoidance, then the IT Department may be granted liberty to initiate the appropriate proceedings as per law. The IT Department may further be granted liberty to examine the aspect of any tax payable as a result of the Scheme.

(v) The interest of the Revenue may be safeguarded while considering the scheme and the Companies may also be directed to discharge the demand, if any, found later on.

16. The Tribunal vide Order dated 12.07.2024, directed the Petitioner Companies to file an Affidavit that the objective of the Scheme is not solely for adjusting carry forward losses by Transferor Company No.1, in compliance of which, the Transferee Company vide Diary No. 01045/14 dated 15.07.2024, filed an Affidavit dated 15.07.2024, which was taken on record vide this Tribunal Order dated 04.10.2024. It is stated in the Affidavit that:

(i) The Transferee Company undertakes that it shall not carry forward any losses, any unabsorbed depreciation of Transferor Companies and the Scheme shall not be used as a device for the purpose of tax avoidance in any manner.

(ii) The Scheme between the Petitioners Companies is not prejudicial to the interest of IT Department and it is not aimed to adversely affect the revenue of IT Department. Further, IT Department having complete authority by the provisions of law to initiate the appropriate proceedings to examine any

aspects.

(iii) The Petitioner Companies 1 and 2 are engaged in real estate and infrastructure business, whereas the Petitioner Company 3 is engaged in the business of manufacturing of rectified spirit, extra neutral alcohol, ethanol and industrial alcohol etc. and operating a distillery unit in the premises of the Petitioner Company 2.

(iv) The Petitioner Companies 2 and 3 are subsidiaries of the Petitioner Company 1, as the Petitioner Company 1 is holding 99.90% and 93.45% of the issued, subscribed and paid-up equity share capital of the Petitioner Company 2 and 3 respectively and also holds 2,581 0%, Optionally Fully Convertible Debentures of Rs.5,000/- of the Petitioner Company 2 aggregating to Rs.51,62,000/-.

(v) The amalgamation of the Petitioner Companies 1 and 2 with and into the Petitioner Company 3 will result in cancellation of the inter-company transactions, obligations and liabilities towards each other. The Petitioner Company 3 will be able to utilize the resources of the Petitioner Companies 1 and 2 in the most effective manner and the Petitioner Company 3 has sufficient resources to satisfy the debt obligations of the Petitioner Company 1. The Petitioner Company 3 will simplify the shareholding structure by reducing layers of entities, thereby resulting in reduction of costs incurred in managing three distinct companies such as appointment of auditors, cost incurred in preparation and filings of various returns and forms under the Companies Act, 2013, filing of returns under the Income Tax Act, 1961, maintenance of various records, registers, papers and documents, making necessary compliances under the applicable laws.

The proposed amalgamation will result in the single management structure for the companies and will enable the group to achieve economies of scale and thus is in line with the rationale of the Scheme as reproduced below:

*"A. **Purpose and Rationale of the Scheme***

*1. The proposed amalgamation of the Transferor Companies with and into the Transferee Company would inter alia have the following benefits:*

*a) Greater integration and greater financial strength and flexibility for the amalgamated entity, which would result in maximizing overall shareholder value and will improve the competitive position of the combined entity.*

*b) The existence of independent companies at times result in duplication of efforts and the integration and combination of such businesses will lead to greater and optimal utilization of resources. The amalgamation would, therefore, enable the Transferee Company to increase operations and confer a competitive advantage on the entire business. With integrated processes, the Transferee Company can achieve higher scales of operation.*

*c) The amalgamation of the operations of the Transferor Companies into the Transferee Company will assist the Transferee Company and its management in meeting the funding through a common funding mechanism. This will result in effective management and utilization of funds for capital expenditure and working capital. The efficiencies generated through cash management of the merged entity and access to cash flow generated by the combined business can be deployed more efficiently to fund organic and inorganic growth opportunities and to maximize shareholders value.*

*d) The amalgamated company will have the benefit of synergy, optimum use of human relations, expertise, and stability of operations and would help to achieve economies of scale through efficient utilization of resources and facilities.*

*e) Strengthened leadership in the Industry, in terms of the asset base, revenues, product range, production volumes and market share of the combined entity. The amalgamated entity will have the ability to leverage on its large asset base and vast pool of intellectual capital, to enhance shareholder value.*



*The integration of the Companies will save them from many unnecessary but mandatory periodic compliances and will eventually save huge cost."*

(vi) The unison of objects of transferor and transferee companies is not a pre-requisite and necessary for amalgamation. Section 230 to 232 of the Companies Act, 2013 (erstwhile section 391 to 394 of the Companies Act, 1956) and the rules made thereunder does not contain any provision stipulating that there should be identity of objects of the transferor and transferee companies before an amalgamation could be sanctioned. Such identity of objects is neither required by statute nor precedent.

(vii) There have been number of cases, in which the concerned Hon'ble High Cours and Benches of National Company Law Tribunal, while approving the Scheme have rejected the objections raised by the authorities raising the dissimilarity in main objects of the transferor and transferee companies involved in the scheme of amalgamation/ arrangement.

(viii) The Scheme is not designed for the purpose of tax avoidance, but to achieve economies of scale, better utilisation of resources and simplification in shareholding structure.

17. Subsequently, the Senior Standing Counsel for the IT Department, vide Diary no. 01045/13 dated 12.07.2024, filed IT reports bearing No. ITO/W2(1)/ASR/2023-24/427 dated 11.07.2024 of the Income Tax Officer, ward-2, Amritsar and F. No. DCIT/ CC-I/CHD/2024-25/182 of Dy. Commissioner of IT, Circle-1, Chandigarh dated 11.07.2024 in respect of Petitioner Company 2 and 3 respectively. The relevant extracts of the above reports are reproduced below:

| Petitioner | Report of IT Department |
|---|---|
| **Petitioner Company 2/ Transferee Company: Lord Properties Private Limited** | |

**2.** Thelord Properties Private limited (Applicant company no.2. /transferor company no.2 is one of the company in the composite scheme of arrangement. The said company is under the jurisdiction of this Ward. The statusof demand as on **11.07.2024** in respect of M/s Lord properties Private limitedis as under:-

| Sl. No. | Name of the Company | PAN | Outstanding Demand |
|---|---|---|---|
| 1 | Lord properties Private limited | AAACL3052G | Rs.7120/- (For AY 2009-10) |

**Summary of demand**

| A.Y. | Demand Reference No. as per CPC 2.0 | Demand Section | Date of Order | Amount Outstanding (In Rs.) | Amount Difficult to recover(in Rs.) | Amount Collectible (in Rs.) |
|---|---|---|---|---|---|---|
| 2009-10 | 2010200937 008386101C | 143(1) | 17/09/2010 | 7120/- | Nil | 7120/- |

**3.**This office has no objection regarding above cited arrangement of the companies, subject to the payment of the above pending demand. The report inresponse to the notice issued u/s 280-282 of the Companies Act, 2013 to propose the scheme of amalgamation is as under:

| | | |
|---|---|---|
| 7 | Details of any proceedings pending against applicant companies under the Income Tax Act. | Nil |
| 8 | Details of tax demand pending for recovery from applicant companies* (*Specify year wise amount outstanding) | Sr. No. 1. / A.Y. 2009-10 / Outstanding Demand Rs. 7120/- |
| 9 | Whether any significant information received from NMS /AIR etc | None as per record |
| 9. 1 | Details of pendency of investigation enquiry proceedings, if any. | None as per record |
| 9.2 | Whether any proceedings are contemplated any provisions of the IT Act. | None as per record |
| 10 | Whether proposed scheme envisages will impact allow ability of carry forward of business losses or unabsorbed depreciation or any other benefits under the IT Act. If yes quantify the amount of tax effect. Compliance of Section 72A | As per Income Tax Act provisions |
| 19 | Details for tax demand pending for recovery from the applicant companies. | Rs 7120/- |
| 20 | Details of ITR filled by the company. | Lord Properties Pvt.Ltd. — S.No 1. / A.Y. 2023-24 / Return Income/Loss Loss (Rs.17,35,752/-) / Filing Date 25.10.2023 |
| 21 | Details of receipts of the notice | The PAN of the case has been transferred in this office on 26.06.2024. |
| 22 | Date of present report. | - |
| 23 | Remarks about objection to the scheme or any representation to NCLT to protest the interest of Revenue. | - |

| Petitioner | Report of IT Department |
|---|---|
| **Petitioner Company 3/ Transferee Company No. 3: Digvijay Chemicals Limited** | |

| | | |
|---|---|---|
| 7 | Details of any proceedings pending against applicant companies under the Income Tax Act. | None at present. However, the penalty proceedings consequential to assessment proceedings in the case of M/s Digvijay Chemicals Ltd. have been kept on hold as the assessee has filed appeal before CIT(A) against the assessment orders. There are bright chances that addition made by the A.O. will be upheld by the CIT(A). Therefore, penalty proceedings will be decided after the decision of CIT(A). |
| 8 | Details of tax demand pending for recovery from applicant companies*<br><br>(*Specify year wise amount outstanding) | M/s Digvijay Chemicals Ltd.<br><br>**Sr. No. / A.Y. / Outstanding Demand**<br>1 / 2017-18 / 33,07,205<br>2 / 2019-20 / 13,73,420<br>3 / 2019-20 / 9,95,610<br>4 / 2019-20 / 2,58,859<br>5 / 2020-21 / 49,86,920<br>6 / 2020-21 / 2,53,300<br>7 / 2020-21 / 11,260<br>8 / 2022-23 / 44,40,970<br>9 / 2023-24 / 9,29,620<br>**Total / 1,65,57,164/-** |
| 9 | Whether any significant information received from NMS/AIR etc | None as per record |
| 9.1 | Details of pendency of investigation enquiry proceedings, if any. | As per column No. 7 |
| 9.2 | Whether any proceedings are contemplated any provisions of the IT Act. | None at present. However, the penalty proceedings consequential to assessment proceedings in the case of M/s Digvijay Chemicals Ltd. have been kept on hold as the assessee has filed appeal before CIT(A) against the assessment orders. There are bright chances that addition made by the A.O. will be upheld by the CIT(A). Therefore, penalty proceedings will be decided after the decision of CIT(A). |
| 10 | Whether proposed scheme envisages will impact allowability of carry forward of business losses or unabsorbed depreciation or any other benefits under the IT Act.<br><br>If yes quantify the amount of tax effect. Compliance of Section 72A | Assessee is required to comply the provision of Section 72A of the Income Tax Act w.r.t. allowability of carry forward of business losses or unabsorbed depreciation or any other benefits under the IT Act. |
| 19 | Details for tax demand pending for recovery from the applicant companies. | M/s Digvijay Chemicals Ltd.<br><br>**Sr. No. / A.Y. / Outstanding Demand**<br>1 / 2017-18 / 33,07,205<br>2 / 2019-20 / 13,73,420<br>3 / 2019-20 / 9,95,610<br>4 / 2019-20 / 2,58,859<br>5 / 2020-21 / 49,86,920<br>6 / 2020-21 / 2,53,300<br>7 / 2020-21 / 11,260<br>8 / 2022-23 / 44,40,970<br>9 / 2023-24 / 9,29,620<br>**Total / 1,65,57,164/-** |
| 20 | Details of ITRs filled by the company. | **M/s Digvijay Chemicals Ltd.**<br><br>**Sr. No. / A.Y. / Returned Income/Loss / Filling Date**<br>1. / 2023-24 / 14,67,39,700 / 23.10.2023<br>2. / 2022-23 / 11,14,51,400 / 29.10.2022 |

<table>
<tr><th>Petitioner</th><th>Report of IT Department</th></tr>
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<tr><td>20</td><td>Details of ITRs filled by the company.</td><td>M/s Digvijay Chemicals Ltd.
<table>
<tr><th>Sr. No.</th><th>A.Y.</th><th>Returned Income/Loss</th><th>Filing Date</th></tr>
<tr><td>1.</td><td>2023-24</td><td>14,67,39,700</td><td>23.10.2023</td></tr>
<tr><td>2.</td><td>2022-23</td><td>11,14,51,400</td><td>29.10.2022</td></tr>
</table></td></tr>
<tr><td>21</td><td>Details of receipts of the notice</td><td>-</td></tr>
<tr><td>22</td><td>Date of present report.</td><td>11.07.2024</td></tr>
<tr><td>23</td><td>Remarks about objection to the scheme or any representation to NCLT to protect the interest of Revenue.</td><td>As per detailed above.</td></tr>
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18. The Petitioner Company 2, vide Diary No. 1045/20 dated 19.12.2024, filed the reply affidavit dated 19.12.2024 to the IT report, which was taken on record vide this Tribunal Order dated 03.01.2025. It is stated In the Affidavit, that the demand of Rs.7120 against Petitioner Company 2 has already been extinguished by the IT Department and that there is no other IT demand outstanding against the Petitioner Company 2. A copy of the screenshot of the IT portal has been annexed as Annexure 2 of the aforesaid Affidavit.

19. During the course of hearing dated 06.12.2024, it is stated by Petitioner Companies that appeal has been filed against the demand of the IT Department for the different financial years starting from 2017-18 to 2022-23 qua transferee company before the IT Commissioner, upon which it was directed by this Tribunal to file the status of the appeal and IT Department was directed to confirm with regards to the pendency of appeal. In compliance of the above Order, the Transferee Company vide Diary No. 1045/21 dated 19.12.2024, filed an Affidavit dated 19.12.2024, which was taken on record vide this Tribunal Order dated 03.01.2025. It has been stated in the Affidavit that the penalty proceedings mentioned in para 7 and 9.2 of the IT report are consequential to the outstanding demands stated in para no. 8 of the IT Report and are related to each other. The Transferee Company has filed appeals before the Commissioner of IT (Appeals) against the outstanding demands raised by the IT Department for the assessment years 2017-18 to 2022-23 as shown below:

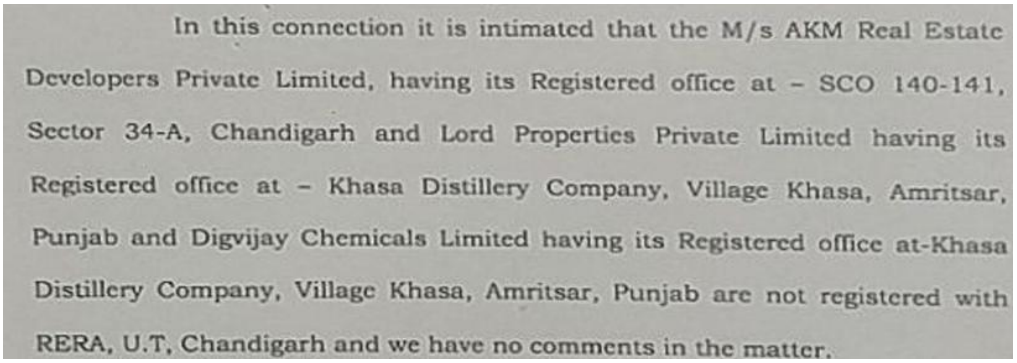
| Sr. No. | Assessment order date | Outstanding Demand as per Income Tax report | Total Outstanding Demand as per assessment order | Demand deposited @20% | Balance outstanding demand | Appeal filing Date | Status as on date |
|---|---|---|---|---|---|---|---|
| **1.** | **A.Y. 2017-18** | | | | | | |
| (i) | 27.12.2019 | Rs. 33,07,205 | **Rs. 52,10,345** | Rs. 10,42,070 | Rs. 41,68,275 | 21.01.2020 | Appeal has been filed with CIT(A) and final order of CIT(A) is pending. |
| **2.** | **A.Y. 2019-20** | | | | | | |
| (i) | 28.03.2024 | Rs. 13,73,420 | **Rs.26,27,889** | Rs. 5,25,578 | Rs. 21,02,311 | 17.04.2024 | Appeal has been filed with CIT(A) and CIT(A) is yet to start hearing proceedings. |
| (ii) | | Rs. 9,95,610 | | | | | |
| (iii) | | Rs. 2,58,859 | | | | | |
| **3.** | **A.Y. 2020-21** | | | | | | |
| (i) | 29.03.2024 | Rs. 49,86,920 | **Rs. 52,51,480** | Rs. 10,50,296 | Rs. 42,01,184 | 17.04.2024 | Appeal has been filed with CIT(A) and CIT(A) is yet to start hearing proceedings. |
| (ii) | | Rs. 2,53,300 | | | | | |
| (iii) | | Rs. 11,260 | | | | | |
| **4.** | **A.Y. 2022-23** | | | | | | |
| (i) | 30.03.2024 | Rs. 44,40,970 | **Rs. 44,40,970** | Rs. 8,88,194 | Rs. 35,52,776 | 17.04.2024 | Appeal has been filed with CIT(A) and CIT(A) is yet to start hearing proceedings. |
| **5.** | **A. Y. 2023-24** | | | | | | |
| (i) | 26.03.2024 (Intimation u/s 143(1) of the Income Tax Act, 1961 | Rs. 9,29,620 | **Rs. 9,29,620** | - | - | - | The Transferee Company shall file a rectification request for amendment of the intimation under section 154 of the Income Tax Act, 1961. As per section 154(7) of the Income Tax Act the said rectification can be filed within 4 years from the end of the financial year in which the order sought to be amended was passed. |
| | **Total outstanding demand for all the above assessment years= Rs. 1,65,57,164** | | **Rs. 1,84,60,304** | **Rs. 35,06,138** | **Rs. 1,40,24,546** | - | - |

20. It is noted that there is no outstanding demand against the Petitioner Company 2 as of now and, there are accumulated losses for Petitioner Companies 1 and 2, however the Petitioner Company 3 has given an undertaking vide Affidavit filed vide Diary No. 1045/14 dated 15.07.2024 that it will not carry forward the losses. Further, In respect of Petitioner Company 3, there has been an outstanding demand of Rs.1,65,57,164/-, however, appeals are pending against the said outstanding demand. In view of the undertakings given by Petitioner Company 3 and Clause 4.2.8(i) and Clause 4.2.7 in the Scheme, we consider it appropriate to proceed further in the matter.

## IV. Real Estate Regulatory Authority

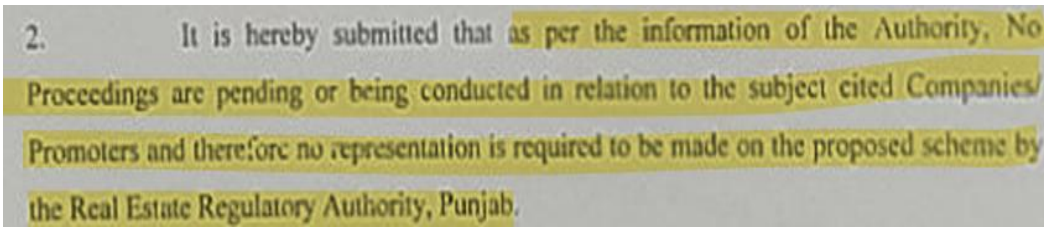
21. The RERA, Chandigarh has filed its report vide Diary No. 220 dated 17.07.2023

(Memo No. (RERA)/2023/74 dated 13.07.2023) stating that the Petitioner Companies 1 to 3 are not registered with them and they have no comments in the matter. The relevant extract of the report is reproduced below:



In this connection it is intimated that the M/s AKM Real Estate Developers Private Limited, having its Registered office at – SCO 140-141, Sector 34-A, Chandigarh and Lord Properties Private Limited having its Registered office at – Khasa Distillery Company, Village Khasa, Amritsar, Punjab and Digvijay Chemicals Limited having its Registered office at-Khasa Distillery Company, Village Khasa, Amritsar, Punjab are not registered with RERA, U.T, Chandigarh and we have no comments in the matter.

22. The Punjab RERA has filed its report vide Diary. No. 201 dated 06.07.2023 (Memo No. RERA/Pb/Legal/2023/777 dated 06.07.2023) stating no proceedings are pending or being conducted in relation to the Petitioner Companies/ Promoters. The relevant extract of the report is reproduced below:



2. It is hereby submitted that as per the information of the Authority, No Proceedings are pending or being conducted in relation to the subject cited Companies/ Promoters and therefore no representation is required to be made on the proposed scheme by the Real Estate Regulatory Authority, Punjab.

**V. <u>Excise & Taxation Commissioner, Punjab</u>**

23. During the course of hearing dated 04.10.2024, it was noted that although it was not directed by this Tribunal, the Petitioner Companies issued notice to the Excise Department in April 2023, but neither the response has been filed by them nor there is representation on their behalf. In view of the above, this Tribunal vide its Order dated 04.10.2024 directed to issue the notice to the Excise Department of the respective State(s), in which the distillery is situated with the direction to file its report and be present on the next date of hearing either physically or through VC failing which it will be presumed that there are no adverse comments on the Scheme.

24. In compliance of the above order, the Petitioner Companies filed affidavit of service vide Diary No. 01045/15 dated 17.10.2024. However, during the hearing dated 13.11.2024, it was noted that the Petitioner Companies served the notice to the Excise Department, Punjab through email (and not by speed post) and therefore, this Tribunal vide Order dated 13.11.2024 directed the Petitioner Company 3 to serve the notice to the Excise Department through speed post and file a fresh affidavit of service to that effect. In compliance of the above order, the Petitioner Companies vide Diary No. 0145/19 dated 22.11.2024, filed an affidavit dated 21.11.2024 (taken on record on 06.12.2024) stating that the notice to the Excise and Taxation Commissioner, Punjab was sent at Room No.405-06, 4th floor, Excise and Taxation Bhavan, Sector 69, Mohali-160069 by speed post on 18.11.2024 (Consignment no. EP8673380971N), which was delivered on 19.11.2024.

25. In view of the above, we consider to proceed further in the matter presuming that Excise Department, Punjab have no representation to make on the Scheme.

**VI. <u>Food Safety and Standards Authority of India-</u>**

26. During the course of the hearing dated 04.10.2024, the Petitioner companies submitted that they do not hold any licence from Food Safety and Standards Authority of India (hereinafter referred to as the "**FSSAI**") and there is no need to issue the notice to FSSAI, upon which they were directed to file an affidavit in this regard. In compliance of the above Order, an Affidavit dated 21.11.2024 was filed by Petitioner Company 3 vide Diary No. 01045/17 dated 17.10.2024, which was taken on record vide this Tribunal Order dated 13.11.2024. It has been stated in the Affidavit that the Petitioner Company 3 is having distillery unit at Khasa Distillery Company, Village Khasa, Amritsar, Punjab-143107 to produce rectified spirit, extra neutral alcohol,

DNS, ethanol, industrial alcohol, country liquor, IMFL, absolute alcohol using grains & molasses as raw material and the FSSAI has issued license (certified copy annexed as Annexure 3 of the affidavit) to the Petitioner Company 3 under Food Safety and Standards Act, 2006. The Petitioner Company 3 had sent notice by post on 15.10.2024 to the FSSAI for filing its representations or objections to the Scheme and the original postal receipt has been annexed as Annexure 4 of the affidavit. However, during the course of hearing dated 13.11.2024, it was noted that there was no tracking report attached with the affidavit and hence the Petitioner Company 3 was directed to file the same. In compliance of the above order, the Petitioner Companies vide Diary No. 0145/19 dated 22.11.2024 (taken on record on 06.12.2024), filed an affidavit dated 21.11.2024 stating that notice along with a copy of the Company Petition was sent by speed post (consignment no. CP3185529121N) at Chairperson, Food Safety and Standards Authority of India at FDA Bhawan, Kotla Road near Bal Bhawan, New Delhi- 110002, which was delivered on l7.10.2024 and a copy of the tracking report is annexed as Annexure 3 of the affidavit.

27. In view of the above, we consider to proceed further in the matter presuming that FSSAI have no representation to make on the Scheme..

**VII. <u>Other Sectoral Regulator-</u>**

28. The Petitioner Company 1, 2 and 3 vide their Affidavits annexed at Annexure 20, 21 and 22 respectively of the Petition have confirmed that there are no regulatory provisions of other law, as are applicable to the Petitioner Companies and they are not regulated or governed by the Securities and Exchange Board of India (hereinafter referred to as the "**SEBI**"), Reserve Bank of India (hereinafter referred to as the "**RBI**"), Competition Commission of India (hereinafter referred to as the "**CCI**"), Real Estate

Regulatory Authority or any other sectoral regulator or regulatory authority.

29. Furthermore, the Petitioner Company 3, vide Diary No. 01045/16 dated 17.10.2024 (taken on record on 13.11.2024), has also been filed an Affidavit stating that none of the companies are involved in the power generation, distribution, transmission, or energy conservation business and no business license to that effect has been obtained.

**VIII. Objections from stakeholders or the general public**

30. The Tribunal vide Order dated 06.07.2023 directed the Petitioner Companies to file an Affidavit regarding the non-receipt of objections from the public in response to the newspaper publications. In Compliance of the above Order, the Petitioner Company, vide Diary No. 01045/7 dated 25.08.2023, filed Affidavit dated 21.08.2023 confirming non-receipt of any objection to the Scheme pursuant to newspaper publications.

31. During the hearing dated 04.10.2024, it was noted that the Transferee Company is also proposing reduction of share capital in respect of those shareholders, who in the year 2012, at the time of delisting of shares in Delhi Stock Exchange (hereinafter referred to as the "**DSE**") had not sold their shares at that time and are about 6% of the share capital of Transferee Company. It was also explained that addresses of some of shareholders are not known/correct and in the event, the amount could not be deposited, the same shall be credited to Investor Education and Protection Fund (hereinafter referred to as the "**IEPF**"). Therefore the Petitioner Companies were directed to file relevant judgments under the similar situations on the point of reduction of the share capital of the Transferee Company. In compliance of the above Order, the Transferee Company, vide Diary No. 01045/18 dated 25.10.2024, filed an Affidavit

dated 25.10.2024 stating that:

(i) Initially, the Transferee Company was listed on the DSE and its promoters had proposed for its delisting and accordingly, had provided an exit opportunity to its public shareholders in terms of the provisions of the SEBI (Delisting of Equity Shares) Regulations, 2009 and other applicable provisions. Accordingly, all of its public shareholders, who had successfully tendered their equity shares during the bid period, were paid the consideration and after the acquisition of the equity, the Promoters and Promoters' Group holding in the Transferee Company has increased beyond 90% of its total paid-up equity share capital. The Transferee Company had, thereafter, applied for delisting of its equity shares from the DSE and the Transferee Company got delisted from DSE with effect from 30.07.2012 with the result that its equity shares could not be freely traded.

(ii) The Transferee Company has not been declaring any dividend after the date of its delisting and therefore, the shares held by the public shareholders could not be transferred to IEPF after delisting of the Transferee Company, because in terms of section 124(6) of the Companies Act, 2013, only those shares can, in respect of which dividend has not been paid or claimed for seven consecutive years or more, be transferred by the company in the name of IEPF along with a statement containing such details, as may be prescribed and the shareholders are entitled to claim transfer of shares from the IEPF by following the requisite procedure. Further, as the transfer of shares by a company to IEPF does not result into reduction in capital, the company continues to remain obligated to the ultimate beneficiaries in respect of those shares.

(iii) Presently, the Transferee Company is an un-listed public limited company with 1,445 public shareholders holding 3,95,042 fully paid-up equity shares of Rs.10/- each as per certified copy of the list of shareholders of the Transferee Company as on 30.11.2022 annexed as Annexure 3 of the affidavit. The lack of marketability for equity shares has limited the scope for such public shareholders from liquidating their shareholding in the Transferee Company. Further, having such a minuscule percentage of shareholding with a large number of shareholders results in increased administrative costs for the Transferee Company. Also, many public shareholders of the Transferee Company are non-traceable due to various reasons including change of address, improper contact details etc.

(iv) The fair value per equity share of the Transferee Company is Rs.37.78 as determined by Mr. Subodh Kumar, Registered Valuer (Regd. No. IBBI/RV/05/2019/11705) vide valuation report dated 21.12.2022 annexed as Annexure 4 to the affidavit. In order to provide liquidity to the public shareholders, the Transferee Company has proposed to extinguish the shares held by such public shareholders by paying them a sum of Rs.40/- per equity share held by them, inclusive of a premium of Rs.30/- over the face value per equity share of Rs.10/- each, which is above the fair value determined by the Registered Valuer. The reduction of share capital of the Transferee Company shall be effected in books of account of the Transferee Company by cancelling and extinguishing the issued, subscribed and paid-up share capital of Rs.39,50,420/- comprising of 3,95,042 full paid-up equity shares of Rs.10/- and the retained earnings to the tune of Rs.1,18,51,260/- and paying off Rs.1,58,01,680/- to the public

shareholders of the Transferee Company through normal banking channels.

(v) It is an established position of law that holding of a share in a company by a shareholder is holding of a bundle of rights in relation to the company, where such rights are subject to the conditions and/ or limitations stated under not only the memorandum and articles of association of the company, but also provisions of the Companies Act, 2013. As such the equity shareholders of the Transferee Company have held their shares on the clear understanding that said shares could be cancelled/ reduced. The Transferee Company by the proposed reduction of equity share capital is providing a valuable and reasonable mode of exit to the non-promoter equity shareholders of the Transferee Company. The objective behind the proposed capital reduction is to provide an exit to the public shareholders, as the Transferee Company is unlisted and its shares are illiquid. In that event the reduction of minority shareholders will continue to be blocked.

(vi) Pursuant to section 230 of the Companies Act, 2013, a company is entitled to enter into any arrangement with (i) its creditors or any sub-set of creditors and/ or (ii) its members or any sub-set of its members. The explanation appended to section 230(1) of the Companies Act, 2013 gives an inclusive definition of the term 'arrangement' as including reorganization of share capital. Also, as per the explanation provided in section 230 of the Companies Act, 2013, a company undertaking scheme of arrangement involving reduction of share capital is not required to follow the provisions of section 66 of the Companies Act, 2013. On a mere reading of Section 230 of the Companies Act, 2013, it is clear that pursuant to Section 230 of

the Companies Act, 2013, a company may propose for compromise or arrangement with its creditors or its members, which may include reduction of share capital of the company, variation in the rights of shareholders, conversion in shares and other consequential or incidental effects thereto. Moreover, on a harmonious construction of Section 230(1) with Section 230(2)(c) of the Companies Act, 2013, it is clear that the reduction of share capital of the company may be included in the compromise or arrangement and in that case the provisions of Section 66 of the Companies Act, 2013 would not be required to be followed separately.

(vii) The restructuring contemplated in the present Scheme is purely a business decision arrived at by the shareholders on the business of commercial principles. The re-structuring will not affect the normal operations of the Transferee Company or its ability to honour its commitments and to pay its debts in the ordinary course of business. The restructuring is in accordance with sound commercial and accounting practice and the Transferor and Transferee Companies have followed all the procedural aspects and the legal provisions contemplated under Sections 230 to 232 of the Companies Act, 2013. The reduction/ extinguishment of equity share capital is in the best interest of the shareholders as well as in the best interest of the Transferee Company.

(viii) The Transferee Company has never received any objection from any of its public shareholders regarding proposed cancellation of their shareholders through the Scheme under section 230 to 232 of the Companies Act, 2013. Also, none of the statutory authorities, to whom notice have been issued pursuant to section 230(5) of the Companies Act, 2013 have raised any

objection for cancellation of public shareholding from the Transferee Company under section 230 to 232 of the Companies Act, 2013.

32. The Petitioner Companies in the above Affidavit dated 25.10.2024 have also submitted that the Board of Directors of the Transferee Company in its Board meeting held on 07.10.2024 have resolved that the Board of Directors of the Transferee Company do not have any objection, if the following two portions are struck off from the Scheme by this Tribunal: (i) para 2 of Clause C - Reduction of share capital of Transferee Company, on voluntary basis; and (ii) Part IV- Reduction of share capital of the Transferee Company by returning capital to its public shareholders. The Board of Directors have further resolved that they do not have any objection, if this Tribunal approves only the Scheme containing provisions for amalgamation of the Transferor Companies 1 and 2 with and into the Transferee Company, on a going concern basis and dissolution of the Transferor Companies under section 230 to 232 of the Companies Act, 2013. A certified copy of the said board resolution has been annexed as Annexure 19 of the Affidavit. It has been further requested in the affidavit to sanction the Scheme containing provisions for amalgamation of the Transferor Companies 1 and 2 with and into the Transferee Company, on a going concern basis under section 230 to 232 of the Companies Act, 2013.

33. The Petitioner Companies have also relied on various judgements on the issue, however, none of the judgements relates to the situations envisaged similar to the present case, where the reduction of share capital of the public shareholders, most of whom are not traceable, are involved and thus the amount payable to the public shareholders are to be transferred to the IEPF. Further, the Petitioner Companies have also submitted that they do not have any objection, if this Tribunal approves only the Scheme containing provisions for amalgamation of the Transferor Companies 1

and 2 with and into the Transferee Company, on a going concern basis and dissolution of the Transferor Companies under section 230 to 232 of the Companies Act, 2013. In view of the above, we consider it appropriate to sanction the Scheme without reduction of share capital.

34. The Petitioner Companies have annexed the certificates from the Statutory Auditors of Petitioner Company 1, 2 and 3 at Annexure 16, 17 and 18 respectively that the accounting treatment for amalgamation proposed in the Scheme is in conformity with the Accounting Standard as per section 133 of the Act read with the Companies (Indian Accounting Standard) Rules, 2015.

**DIRECTIONS**

35. We have heard the Ld. Counsel for Petitioner Companies, OL, IT Department and Company Prosecutor for Ld. RD/RoC and have perused the records carefully.

36. Subject to the Petitioner Companies complying with the requirement of various laws including the rules, and regulations, the permission is hereby granted to the Scheme of Amalgamation under Section 230 to 232 of the Companies Act, 2013. The sanctioned Scheme of Amalgamation shall be binding on all the Petitioner Companies and their Shareholders and Creditors. The Petitioner Companies shall remain bound to comply with all the statutory requirements in accordance with law.

37. Notwithstanding the submission that no investigation is pending against the Petitioner Companies, if there is any deficiency found or, the violation committed qua any enactment, statutory rule or regulation, the sanction granted by this Tribunal will not come in the way of action being taken, albeit, in accordance with the law, against the concerned persons, directors and officials of the Petitioner Companies.

38. While approving the Scheme, it is clarified that this Order should not be construed as approval by any statutory authorities viz. Punjab RERA, RERA, Chandigarh, Other RERAs, State Excise Department(s), FSSAI, SEBI, CCI, RBI, etc. or any sectoral regulator; or construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges or payment of fee/ penalty etc., if any, due or required in accordance with law or in respect to any permission/ compliance with any other requirement, which may be specifically required under any law. Further, the approval of the Scheme would in no manner affect the tax treatment of the transactions under the Income Tax Act, 1961, or serve as any exemption or defense for the Petitioner Companies against tax treatment in accordance with the provisions of the Income Tax Act, 1961 and the rules and regulations made thereunder.

39. This Tribunal do further order:

(I) Upon the sanction becoming effective from the appointed date of amalgamation i.e. 01.04.2023, the Transferor Companies stand dissolved without undergoing the process of winding up;

(II) All the property, rights and powers of the Transferor Companies be transferred, without further act or deed, to the Transferee Company and accordingly, the same shall pursuant to Sections 230 & 232 of the Act, be transferred to and vested in the Transferee Company for all the estate and interest of the Transferor Companies, but subject nevertheless to all charges now affecting the same;

(III) All the liabilities and duties of the Transferor Companies be transferred, without further act or deed, to the Transferee Company and accordingly

the same shall pursuant to Sections 230 to 232 of the Act, be transferred to and become the liabilities and duties of the Transferee Company;

(IV) The authorized share capital of the Transferee Company, after the Scheme becoming effective, shall be in accordance with Section 232(3)(i) of the Companies Act, 2013 and the fee, if any, paid by the Transferor Companies on its authorized capital shall be set off against any fees payable by the Transferee Company on its authorized capital subsequent to this arrangement;

(V) The Transferee Company shall file the revised Memorandum and Articles of Association with the concerned RoC and further make the requisite payments of the differential fee (if any) for the enhancement of authorized capital of the Transferee Company after setting off the fees paid by the Transferor Companies;

(VI) Upon coming into effect of the Scheme, the equity shares of the Transferee Company as held by the Transferor Company without further application, act, instrument or deed shall be automatically stand cancelled and be of no effect on and from the effective date.

(VII) The shareholders of Transferor Companies shall be issued shares in the Transferee Company as per clause 5 of the Scheme.

(VIII) All proceedings pending, if any, by or against the Transferor Companies be continued by or against the Transferee Company;

(IX) All the employees of the Transferor Companies shall be deemed to have become the employees and the staff of the Transferee Company with effect from the Appointed Date, and shall stand transferred to the Transferee

Company without any interruption of service and on the terms and conditions no less favourable than those on which they are engaged by the Transferor Companies, as on the Effective Date, including in relation to the level of remuneration, contractual & statutory benefits, incentive plans, terminal benefits, gratuity plans, provident fund plans and any other retirement benefits;

(X) All the tax liabilities and all the pending appeals and proceedings under the Income Tax Act, if pending against the Transferor Companies is transferred to the Transferee Company and shall be enforced and continued against the Transferee Company and all compliances under Income Tax Act, 1961 shall be made by Transferee Company after the Appointed Date. Further, the IT department is permitted to retain its recourse for recovery in respect of demand and any other future liabilities of the Transferor Companies as well as the Transferee Company, in respect of the assets sought to be transferred under the proposed Scheme. The Transferee Company is also directed to discharge the outstanding demand, if any, found later against the Transferor Companies.

(XI) Further, the Transferee Company shall be bound by its undertaking on behalf of the Transferor Companies, involved in the present Scheme [Refer Para 14 and 16 of this Order];

(XII) The Transferee Company will clear all the pending statutory dues, and any other charges/ fee/ penalty etc. subject to exercising Appellate jurisdictions and as per final orders. The Scheme shall not come in the way of the statutory authorities to recover any of their dues. All the contentions of the

parties shall remain open before the relevant forum(s), where disputes are pending;

(XIII) Any person interested shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary;

(XIV) As per the aforesaid directions and Form No. CAA-7 of Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, formal order be issued to the Petitioners to the filing of the Schedule of Properties within three weeks from the date of receiving the certified copy of this order.

40. The Petitioner Companies shall, within 30 days after the date of receipt of this Order, cause a certified copy of this Order to be delivered to the RoC for registration in prescribed form and on such certified copy being so delivered; the Transferor Companies shall be dissolved without undergoing the process of winding up. The concerned RoC shall place all documents relating to the Transferor Companies registered with him on the file relating to the said Transferee Company, and the files relating to the Transferor Companies and Transferee Company shall be consolidated accordingly, as the case may be.

41. The certified copy of this order, if applied for, be supplied to the parties, subject to compliance with all requisite formalities.

42. The Company Petition bearing number CP(CAA)No.14/Chd/Pb/2023 is allowed, therefore, the matter stands disposed of.

*Sd-*
**(Umesh Kumar Shukla)**
**Member (Technical)**

*Sd-*
**(Harnam Singh Thakur)**
**Member (Judicial)**

March 20, 2025
Gitesh